

During the last plenary session held on March 28, the EDPB adopted a letter addressed to the European Parliament, the Council, and the European Commission regarding the exchange of data for the purpose of preventing money laundering and terrorist financing (AML/CFT). This letter emphasizes significant risks to privacy and data protection posed by certain amendments introduced by the Council, which would allow private entities, under certain conditions, to exchange personal data among themselves for the purposes of preventing money laundering and terrorist financing in relation to "suspicious transactions" and data collected during the execution of customer due diligence obligations. The EDPB expresses serious concern regarding the legality, necessity, and proportionality of these provisions, which could result in processing on a very large scale by private entities. The EDPB believes that the amendments do not adequately define the conditions under which such processing is justified and do not provide sufficient safeguards considering that such processing could have a significant impact on individuals, such as being blacklisted and excluded from financial services. The EDPB therefore recommends that the co-legislators do not include these provisions in the final text of the Proposal for a Regulation on the prevention of money laundering and terrorist financing.